Signed by
Transition RAC
RADIX DAO LLC

Contributor Compensation Policy

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1. Purpose

This policy defines how the DAO compensates individuals who contribute work under its authority, including Working Group Stewards, Working Group contributors, and contracted specialists.

It establishes:

- Categories of compensated contributors
- How compensation is set and approved
- Payment types and mechanics
- Expense reimbursement rules
- Disclosure and transparency requirements

This policy governs compensation for work performed under DAO authority. Ecosystem grants to external projects — funding to independent teams whose work the DAO does not direct — are out of scope and may be addressed by a separate policy adopted by Governance Proposal.

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2. Scope

This policy applies to:

- **Working Group Stewards** — elected leads accountable for Working Group outcomes
- **Working Group Contributors** — individuals engaged by a Working Group to deliver defined work
- **Contracted Specialists** — external individuals or entities engaged for specific deliverables

Governance Participants exercising governance rights are not compensated under this policy for ordinary participation.

All individuals and entities eligible for compensation under this policy must satisfy the KYC requirement defined in §3.5 before any payment is released.

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3. Compensation Principles

3.1 Purpose-Alignment

Compensation must be in exchange for genuine services that advance the DAO's objectives. The DAO does not distribute funds to participants absent a clear service relationship.

3.2 Governance Authorization

All compensation must be authorized by DAO governance, either:

- Directly — via a governance-approved budget for a Working Group or role, or
- Indirectly — via Working Group discretion to allocate within a governance-approved budget

No compensation may be paid outside an approved budget.

3.3 Proportionality

Compensation should be proportionate to the nature, scope, and market rate of the work performed. Working Groups approving compensation are responsible for ensuring rates are reasonable and defensible against ecosystem benchmarks.

3.4 Transparency

All compensation arrangements, rates, and payments must be publicly disclosed as part of regular Working Group reporting. No off-ledger compensation arrangements are permitted.

3.5 KYC Prerequisite

No compensation may be released to any individual or entity that has not completed KYC verification through the DAO's designated process. This requirement applies to:

- Working Group Stewards
- Working Group Contributors
- Contracted Specialists
- Any individual or entity receiving expense reimbursement

KYC must be completed before the first payment of an engagement. Existing engaged contributors who have not yet completed KYC must do so before their next payment cycle. The RAC maintains a record of KYC-verified payees. Working Group Stewards are responsible for confirming KYC status before authorising any payment from an approved budget.

KYC records are held confidentially and are not published publicly, except where disclosure is required by law. KYC obligations are also reflected in the Operating Agreement §10.4.

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4. Contributor Categories and Compensation Models

4.1 Working Group Stewards

Stewards are elected by Governance Proposal under the Elections & Role Governance Policy and serve fixed terms.

- Steward compensation rates are included in the Working Group's budget proposal submitted to governance
- Governance approval of the budget constitutes approval of the stated Steward rates
- Stewards may not set or approve their own compensation without separate governance authorization
- Compensation is paid on a regular schedule (recommended: monthly) for the duration of the term

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4.2 Working Group Contributors

Contributors are engaged by Stewards within the Working Group's approved budget.

Compensation may be structured as:

- **Retainer** — fixed periodic payment for ongoing availability and contribution
- **Milestone-based** — payment upon delivery of defined deliverables (preferred for project work)
- **Hourly/daily rate** — payment for time-based engagements with defined scope and cap

The engagement type, rate, deliverables, and payment schedule must be documented and published in the Working Group's contributor registry before work begins.

4.3 Contracted Specialists

For specific expertise not available within a Working Group, Stewards may engage external contractors — as may the Permanent RAC where no relevant Working Group exists (§6):

- Engagements at or above the **RFP Threshold** (DAO Parameters §7) require a formal RFP process (see §6)
- Engagements below the RFP Threshold may be approved by Stewards within budget and disclosed in reporting
- All contractor engagements must be documented with a written scope of work

The RFP Threshold is measured **per provider per rolling 12-month period**, aggregating all engagements with the same provider or affiliated group. An engagement may not be split into smaller awards to remain below it. The threshold takes effect on the Activation Date (DAO Parameters §7).

An existing engagement may be renewed without a new RFP where it qualifies under §6.5. A Steward uncertain whether to make or renew an engagement may first submit a Steward Consultation Temperature Check (Working Group Framework §7.2).

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5. Payment Denominations

The DAO may pay contributors in:

- **XRD** — at a rate agreed at the time of engagement; market rate risk borne by the contributor
- **Stablecoins** — where available within the treasury and approved by governance
- **Mixed** — a combination of the above, as defined in the engagement terms

Payment denomination must be specified in the contributor's engagement terms before work begins. Currency preferences may be stated by contributors but are subject to treasury availability and governance approval.

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6. RFP Process

For work at or above the **RFP Threshold** (DAO Parameters §7), Working Groups must use a Request for Proposal (RFP) process, measured on the per-provider rolling 12-month basis set out in §4.3. An engagement that qualifies for renewal under §6.5 is exempt from this requirement.

Engagements made without a Working Group. These obligations attach to the body spending the money, not to Working Groups as such. Where the **Permanent RAC** engages a provider because no relevant Working Group exists, references to a Working Group or to a Steward in this §6 and in §6.5 are read as references to the Permanent RAC. It is bound by the same thresholds, the same RFP process, the same renewal conditions, and the same challenge right.

Transition Period exception. The Transition RAC is not bound by this §6 or §6.5 when selecting contributors under its narrow formation mandate (Operating Agreement §6.5). Formation work is time-limited and precedes the community depth an RFP process assumes. Its engagements remain subject to the publication duties attaching to Transition RAC resolutions, to the cost models and payment documents in the Execution & Treasury Actions Policy §7, and to the KYC requirement in §3.5 of this policy. An engagement so made that is still in effect at the Activation Date is treated under §6.5.5.

6.1 RFP Publication

The Working Group publishes an RFP on the governance forum containing:

- Description of the work required
- Deliverables and acceptance criteria
- Timeline

- Budget range
- Evaluation criteria
- Submission deadline (minimum **14-day** open period)
- **Disbursement constraints** — the constraints under which the DAO is able to pay, stated as terms of the competition (see below)

Disbursement constraints must be published with the RFP. The RFP must state the **Single Transaction Limit** and the **Rolling 30-Day Outflow Cap** (DAO Parameters §6.1), the currency in which payment will be made and, where payment is to be made other than in USDC, the valuation rule by which it will be measured against those limits (DAO Parameters §6.1, *Measuring non-USDC disbursements*). Where the work is of a size or shape that any payment would exceed the Single Transaction Limit, the RFP must additionally state:

- that such a payment can be made only under a **Large Milestone Authorization** (DAO Parameters §6.1A), granted by a Treasury & Budget proposal at **≥66% YES**;
- that the engaging body **cannot promise, procure, or guarantee** that authorization, which is the DAO's decision alone and may fail; and
- that any resulting engagement will be confirmed on the conditional basis in §6.4.

These are constraints on the DAO's capacity to pay, not preferences. A bidder who learns of them at contract signature has been misled about what the DAO was ever able to offer, and the engaging body that published the RFP is responsible for that. Publishing them also puts every bidder on the same footing: a bid structured to be payable is offering the DAO something a bid that ignores the limits is not, and §6.3 may weigh that.

6.2 Bid Submission

Any eligible individual or entity may submit a proposal in response to an RFP.

Submissions must include:

- Proposed approach
- Qualifications and relevant experience
- Itemized cost breakdown
- **Proposed payment schedule** — the amount, currency, and trigger of each payment sought, and identification of any payment that would exceed the Single Transaction Limit and therefore require a Large Milestone Authorization (DAO Parameters §6.1A)
- Proposed timeline
- Conflict of interest disclosures (per **Conflict of Interest Policy**)

Payability is an evaluation criterion. A payment schedule that fits the disbursement constraints published under §6.1 delivers value the DAO can actually receive on the stated timeline; one that does not imposes on the DAO either a supermajority vote it may not carry, or a delay it did not choose. Stewards may weigh this under

§6.3, and must not treat a schedule requiring §6.1A as disqualifying in itself — some work genuinely cannot be divided, and §6.1A exists for it.

6.3 Evaluation and Selection

Working Group Stewards evaluate submissions against the published criteria.

Independent review panel. For engagements at or above the **Independent Review Panel Threshold** (DAO Parameters §7), an independent review panel **is required**. The panel:

- Is appointed by the RAC, and comprises no fewer than the **Independent Review Panel Minimum Size** (DAO Parameters §7)
- May not include a Steward of the commissioning Working Group, and may not include any person holding a disclosed conflict under the Conflict of Interest Policy in relation to a bidder
- Evaluates the submissions against the published criteria and publishes a written recommendation to the governance forum

The Stewards retain the selection decision. Where their selection departs from the panel's recommendation, they must publish their reasons for doing so alongside the selection rationale below.

Where the Permanent RAC is the engaging body (§6), it cannot appoint a panel independent of itself. In that case the panel is drawn from the Permanent RAC's own seated members, at no fewer than the **Independent Review Panel Minimum Size (RAC engagements)** (DAO Parameters §7). Panel members:

- May not have prepared the RFP or participated in evaluating the submissions, and may not hold a disclosed conflict in relation to a bidder
- Recuse themselves from the selection decision, which is taken by the remaining seated members under the RAC's ordinary decision rule (DAO Parameters §5.1)

The reduced panel size is required rather than merely convenient: the Permanent RAC has a minimum of five seated members, and a RAC decision may not be taken with fewer than three non-recused members (DAO Parameters §5.1). A panel of two leaves exactly three to decide at minimum strength; a larger panel would deadlock the body it is meant to advise.

This is a weaker separation than a panel drawn from outside the engaging body. It is accepted because the alternative — no review at all on RAC engagements — is worse, and because it lapses in practice once Working Groups are constituted and the ordinary route applies.

Selection must be:

- Documented with rationale
- Published on the governance forum
- Open to community comment for **7 days** before engagement is confirmed. That period is also the Award Challenge Window under §6.3A

Where the engaging body intends to designate the engagement **continuity-critical** (§6.6), the designation and its reasons are published together with the selection rationale and fall within the same 7-day comment period. A designation may not be made after this point (§6.6.1).

6.3A Award Challenge

The 7-day comment period in §6.3 is also the **Award Challenge Window** (DAO Parameters §7). A selection is open to challenge during that window and is not confirmed under §6.4 until the window closes with no challenge filed, or any challenge filed is resolved.

This challenge is grounds-tested, unlike the renewal challenge in §6.5.3, and the difference is deliberate. At renewal, a challenge succeeds into competition — an outcome the DAO wants, so no grounds test is needed and none is imposed. At award, a challenge succeeds into *re-running a competition that has already happened*: bidders' work discarded, weeks lost, and frequently the same evaluators reaching the same result. The party best placed to file is also the party that lost. A grounds-free right at award would therefore be an obstruction tool in a way the renewal right is not, which is why the two sections differ.

6.3A.1 Standing Any Governance Participant holding at least the **Award Challenge Filing Threshold** (DAO Parameters §7), verified against the most recent governance snapshot, may file an award challenge.

A **qualified bidder** may not file, but may **refer** information to the reviewing body, which may act on the referral of its own motion or decline to, with reasons published. A qualified bidder is one whose submission was received before the published deadline, met the §6.2 submission requirements, and was not disqualified for conflict nondisclosure — that is, one that was eligible to be evaluated on the merits.

Bidders hold the best information about how an evaluation was actually conducted, and the referral right captures it. They do not hold a suspensive lever, because the disappointed party in a competition is the participant with both the strongest incentive and the weakest claim to disinterest.

6.3A.2 Grounds An award challenge may be filed only on one or more of the following grounds:

- the evaluation departed from the criteria published under §6.1
- an undisclosed conflict affected the evaluation or the selection
- the panel composition breached §6.3 — a Steward of the commissioning Working Group, a conflicted member, or a panel below the applicable minimum size
- a submission was accepted after the published deadline, or on terms other than those published
- the awarded scope differs materially from the scope published in the RFP
- the engagement evades the RFP Threshold through splitting or through the provider-and-affiliated-group aggregation in §4.3

That a different bidder was preferable is not a ground. The selection decision belongs to the Stewards under §6.3, and a challenge is a review of how that decision was reached, not a re-run of the commercial judgement — the same discipline the Compliance Challenge observes under Proposal & Voting Framework §8.2.

6.3A.3 Review and Remedies The RAC reviews a challenge and determines it within the **Award Challenge Determination Window** (DAO Parameters §7). **Where the Permanent RAC is the engaging body** (§6), it does not review a challenge to its own award: the challenge is escalated directly to **Level 4** of the Dispute Resolution & Arbitration Policy and decided by Governance Proposal.

The remedy is proportionate to the defect:

Defect	Remedy
Curable and procedural — selection rationale, panel recommendation, or reasons for departing from that recommendation not published	The reviewing body directs cure; the award proceeds once cured
Outcome-affecting, but the submissions themselves remain sound — conflicted evaluator, panel composition breach, criteria misapplied	**Re-evaluation of the submissions already received**, by a panel constituted free of the defect
The award cannot be salvaged — threshold evasion, submissions accepted outside the published terms, awarded scope materially different from the RFP	The award is void and the work is re-competed under §6

Re-evaluation is the ordinary remedy for a sustained challenge. Most defects lie in who judged or how the criteria were applied, not in the submissions, and re-scoring existing bids with a clean panel resolves those in days rather than repeating the full cycle. Voiding is reserved for defects that reach the competition itself.

Where an award is void and re-competed, the completed competition resets the consecutive renewal count under §6.5.4 in the ordinary way.

Repeated frivolous filings may result in sanctions under the **Code of Conduct §4** and are subject to the Abuse Threshold in **DAO Parameters §6C**.

6.4 Engagement Confirmation

Once selected, the engagement is confirmed by a written scope of work document signed (or on-chain acknowledged) by both parties. Confirmation may not take place while the Award Challenge Window is open or a challenge under §6.3A is unresolved. Payment is only released against this confirmed scope. Where the engagement is designated continuity-critical under §6.6, the designation and the scope it covers are recorded in that document.

The scope of work may not oblige the DAO to a payment it has no authority to make. Selection under §6.3 is a procurement decision; it authorises no disbursement and disapplies no limit. The budget limits in **DAO Parameters §6.1** bind the Treasury Signers at execution regardless of what the scope of work provides (**Treasury Signers Rules §8.2**), so a schedule the DAO cannot execute does not become executable by being signed — it becomes a contractual obligation the Company cannot perform.

Accordingly, where the payment schedule includes any payment exceeding the Single Transaction Limit, the engaging body must do one of the following before signature:

- **Authorise first.** Obtain the Large Milestone Authorization (DAO Parameters §6.1A) covering every such payment, and sign against it; or
- **Sign conditionally.** Sign a scope of work in which the DAO's obligation in respect of each such payment is **expressly conditional** on that authorization being granted, and which provides that failure to obtain it terminates the obligation **without liability, penalty, or damages** to the Company. The condition must have been disclosed in the RFP under §6.1.

A scope of work that does neither may not be signed, and a signature given in breach of this paragraph does not bind the DAO's treasury: the Treasury Signers refuse execution under Treasury Signers Rules §8.2 in the ordinary way, and the engaging body answers for the exposure.

Conditional signature is the ordinary route. A Large Milestone Authorization requires ≥66% YES and cannot be whipped, promised, or predicted by the body running the procurement. Requiring authorisation before signature would mean asking the DAO to vote a supermajority on a package no counterparty has yet committed to; requiring signature before authorisation would mean binding the Company to terms the DAO may refuse to fund. The conditional route is what lets both happen in the right order, and it is why §6.1 requires the condition to be disclosed to bidders at the outset rather than produced at signature.

Timing and delay. Where a payment is authorised but cannot execute in the window sought because of the Rolling 30-Day Outflow Cap, the deferral procedure in Treasury Signers Rules §8.2 applies and the scope of work must accommodate it. A scope of work may not make the DAO liable for a delay arising from the operation of its own disbursement limits, where those limits were disclosed under §6.1.

6.5 Engagement Renewal

Re-competing an established provider is not always in the DAO's interest. For infrastructure and specialist services, the cost of transition — onboarding, migration, and lost institutional knowledge — can exceed any benefit from testing the market. This section allows a qualifying engagement to be renewed without a new RFP, on terms the provider has already offered.

It is **not** a route to indefinite uncompeted engagement. The consecutive renewal cap in §6.5.4 is the load-bearing safeguard against that, as the equivalent cap is for role

holders under the Elections & Role Governance Policy §9.5.

A renewal under this section does **not** re-trigger the RFP Threshold aggregation in §4.3. Were it otherwise, any ongoing provider above the threshold would have to be competed annually, which is the outcome this section exists to prevent. Renewals are bounded by §6.5.4 instead.

6.5.1 Conditions for Renewal An engagement may be renewed for one further term without a new RFP only where **all** of the following hold:

- The provider is unchanged, assessed on the same provider-and-affiliated-group basis as the RFP Threshold (§4.3)
- **The scope is unchanged.** Any expansion of scope voids the exemption: the work is a new engagement and the RFP Threshold applies
- **The price is the same or lower**, except under §6.5.2
- The renewal term is no longer than the **Maximum Engagement Renewal Term** (DAO Parameters §7), regardless of the length of the original term
- There is no unresolved performance dispute (including a published performance finding under §6.7.3), no missed-milestone finding under §7, and no Code of Conduct or breach finding against the provider arising during the term
- The original engagement was itself awarded in compliance with this policy — through an RFP where one was required, or as a valid direct award below the RFP Threshold — or is a pre-Activation engagement under §6.5.5. A non-compliant award may not be carried forward by renewal
- The consecutive renewal cap in §6.5.4 has not been reached

6.5.2 Price Increase Exception A renewal at a price above the original may be made only where:

- The Steward publishes a written justification stating specifically why re-competing the engagement would cost the DAO more than the proposed increase
- The RAC confirms under §6.5.3 that the §6.5.1 conditions are met and that the justification addresses that question
- The renewal notice and challenge window in §6.5.3 apply
- The scope remains unchanged — this exception covers price only
- The **cumulative** increase across all renewals of the engagement does not exceed the **Engagement Renewal Price Increase Cap** (DAO Parameters §7). The cap is measured against the price at original award, not against the price at the preceding renewal, so successive increases cannot compound past it
- The increase does not take the engagement's rolling 12-month value across the RFP Threshold or the Independent Review Panel Threshold (DAO Parameters §7) for the first time. Where it would, this exception is unavailable and the engagement must be competed under §6

Where a proposed increase would exceed the cap, this exception is unavailable: the engagement must be competed under §6, or continued under a Governance Proposal as provided in §6.5.4.

6.5.3 Renewal Notice, Challenge, and Confirmation The Steward publishes a **renewal notice** to the governance forum before the challenge window opens, stating the provider, scope, term, price, whether §6.5.2 is relied on, and the current consecutive renewal count.

Any Governance Participant holding at least the **Challenge Filing Threshold** (DAO Parameters §6B), verified against the most recent governance snapshot, may file a challenge notice during the **Engagement Renewal Challenge Window** (DAO Parameters §7).

Filing a challenge is a unilateral right — it does not require a governance vote and cannot be blocked by any Governance Participant, including those with large voting power.

- A valid challenge voids the renewal. The engagement must then be competed under §6 where it is at or above the RFP Threshold, or may be re-awarded at the Steward's discretion where it is below. Where the engagement was designated continuity-critical at award, the challenge instead takes effect as a requirement to compete and the engagement bridges under **§6.6.3** — the challenge succeeds either way; only the treatment of the interval differs
- The RAC acknowledges valid challenges within 2 business days and publishes a notice confirming that the renewal has been voided or, for a designated engagement under §6.6, that a continuity bridge has opened — stating in that case the date the bridge expires and the date by which the RFP must be published
- Before a renewal takes effect, the RAC confirms that the §6.5.1 conditions are met. This is a **process check, not a commercial judgement** — the RAC verifies that scope and price are unchanged, that no disqualifying finding exists, and that the cap has not been reached; it does not assess whether the engagement represents good value

6.5.4 Consecutive Renewal Cap An engagement may be renewed under this section a maximum of **2 consecutive times**, each renewal running for a term of no more than **12 months** (DAO Parameters §7). The renewal entitlement does not vary with the length of the original term: an engagement originally awarded for three months and one awarded for twelve each carry the same two renewals. A single engagement may therefore run for its original term plus a maximum of 24 further months before competition becomes mandatory.

Upon reaching the cap, renewal under this section is unavailable. The engagement may continue only if:

- It is competed under §6 — the incumbent provider may bid, and the evaluation criteria in §6.3 may legitimately weigh transition cost; **or**
- A Governance Proposal authorises continued sole-source engagement with that provider. This is the route for a provider that genuinely cannot be replaced

A completed RFP resets the consecutive renewal count to zero. A sole-source Governance Proposal authorises only the term stated in that proposal and does **not** reset the count, so each further continuation returns to governance.

No bridge on cap exhaustion. The continuity bridge in §6.6.3 is available only on a

challenge under §6.5.3. It is **not** available where the consecutive renewal cap is simply reached. The cap is known from the date of award and its expiry is foreseeable a full term in advance; a body that has not competed the engagement in that time has a planning failure, not a continuity event. A genuinely irreplaceable provider is continued by the sole-source Governance Proposal route above, which is the mechanism designed for that case.

6.5.5 Pre-Activation Engagements An engagement in effect on the Activation Date counts as the initial term for the purposes of §6.5.4, and the cap runs from there. The challenge right in §6.5.3 applies from its first renewal — which is what makes this treatment acceptable, since the community can force competition at any renewal of an award that never faced it.

A pre-Activation engagement had no award-time opportunity to be designated continuity-critical. §6.6.5 provides a single window in which that designation may be made.

6.6 Continuity-Critical Engagements

Some services cannot be interrupted without harm that outlasts the interruption. Market making, treasury infrastructure, and operational services supporting network infrastructure are the clear cases: a gap of weeks is not a pause in delivery but a loss of position, liquidity, or operational integrity that competing the engagement afterwards does not repair.

The challenge right in §6.5.3 is deliberately unilateral and grounds-free, and this section does not weaken it. What it changes is what happens in the interval. A challenge to a designated engagement still forces competition — it simply does not require the service to stop while that competition runs. The safeguard being protected here is the DAO's ability to compel competition, not any provider's expectation of continuity.

6.6.1 Designation An engagement may be designated **continuity-critical** by the engaging body at the time of award, published alongside the selection rationale under §6.3 and recorded in the scope of work under §6.4.

A designation may not be made, extended, or broadened at any later time, and in particular may not be made after a renewal notice has been published under §6.5.3. This timing rule is the load-bearing safeguard of this section: a designation available at renewal would let a Steward immunise a provider against a challenge already in prospect, which is precisely the conduct §6.5.3 exists to check.

A completed competition under §6 is a new award, and the question of designation is open again at that point.

6.6.2 Criteria An engagement may be designated only where **both** of the following hold:

- interruption of the service would materially impair treasury safety, the integrity or liquidity of the DAO's asset positions, the operation of network infrastructure the DAO is responsible for, or the DAO's legal or regulatory standing; **and**
- the service cannot be re-sourced and transitioned within the period a competition under §6 requires

The second limb is the operative filter. Where a replacement can be selected and onboarded within the competition period, no continuity gap arises and no designation is available, however important the service.

Where an engagement bundles critical and non-critical work, the designation extends only to the critical scope, which must be stated separately in the scope of work. The remainder is treated as an ordinary engagement in all respects.

6.6.3 Effect of a Challenge — the Continuity Bridge Where a valid challenge is filed under §6.5.3 against the renewal of a designated engagement, the challenge takes effect as a **requirement to compete** rather than as a voiding of the engagement. The engagement continues on **unchanged scope and price** for a **bridge term** ending on the earlier of:

- execution of the scope of work resulting from the competition under §6; or
- expiry of the **Continuity Bridge Cap** (DAO Parameters §7)

The engaging body must publish the RFP within the **Bridge RFP Publication Deadline** (DAO Parameters §7), measured from the date the RAC acknowledges the challenge under §6.5.3. The Continuity Bridge Cap runs from that acknowledgement regardless of when the RFP is published, so late publication consumes the competition's own time rather than extending the bridge. Missing the deadline is a reportable finding and does not extend the cap.

A bridge term:

- is **non-renewable**, and may not be extended except by Governance Proposal
- does **not** count toward the consecutive renewal cap in §6.5.4 and does **not** reset it
- carries no price increase — §6.5.2 is unavailable during a bridge
- is available **once** per engagement; a completed competition starts the count afresh

Challenge to the replacement award. Where an award concluding a competition run under this section is challenged under §6.3A, the bridge is extended by the duration of the review, up to the **Bridge Challenge Extension** (DAO Parameters §7). Without this, a challenge timed near the end of a bridge would terminate the service by running the review past expiry — achieving through timing precisely what this section exists to prevent. The extension is non-renewable and runs on the same terms as the bridge itself; a second challenge does not extend it again.

The bridge has a hard edge. Where the competition has not concluded by expiry of the cap, or of any extension under the preceding paragraph, the engagement **ends**. Failure to conclude the competition within the bridge is a reportable finding, must be

disclosed in the engaging body's next report under §3.4 (Working Group Framework §8), and is a relevant consideration in any subsequent designation by that body.

The bridge applies only to a challenge under §6.5.3. It does **not** apply where a proposal funding the engagement is halted under the Compliance Challenge (Proposal & Voting Framework §8). A Compliance Challenge is grounds-tested and reviewed by the RAC, and halting the funded action is its intended effect; the DAO accepts the resulting continuity exposure rather than blunt its strongest instrument.

6.6.4 Review of a Designation The RAC confirms at award that the §6.6.2 criteria are met. This is a **process check, not a commercial judgement** — the RAC verifies that both limbs are addressed and that the designated scope is no wider than the critical work; it does not assess whether the service is worth its price.

Any Governance Participant holding at least the **Challenge Filing Threshold** (DAO Parameters §6B) may refer a designation to the RAC for review at any time, including before any renewal is in prospect. Where the RAC finds the criteria unmet, the designation lapses and the engagement reverts to ordinary treatment under §6.5.

A lapse does not terminate a bridge already running. The competition is by then underway and the DAO obtains it either way; ending the engagement mid-bridge would inflict precisely the interruption this section exists to prevent, on a service the community has not yet had the chance to replace. The remedy for a designation that should never have been made is that it lapses for the future and is a relevant consideration in any subsequent designation by that body — not the abrupt severance of a live service.

Where the Permanent RAC is the engaging body (§6), it does not review its own designation. A referred designation is escalated directly to **Level 4** of the Dispute Resolution & Arbitration Policy and decided by Governance Proposal. Without this, the body that awards the engagement, staffs the review panel under §6.3, confirms the renewal under §6.5.3, and designates the engagement would also be the body reviewing that designation.

6.6.5 Pre-Activation Engagements An engagement in effect on the Activation Date (§6.5.5) may be designated continuity-critical within the **Pre-Activation Designation Window** (DAO Parameters §7), measured from that date. The designation is published with reasons and confirmed by the RAC under §6.6.4.

A designation not made within that window is unavailable thereafter, and the engagement is treated as undesignated until a completed competition under §6 opens the question again.

6.7 Provider Performance Complaints

§6.5.1 makes renewal unavailable where there is an unresolved performance dispute. Nothing else in this framework lets a Governance Participant outside the engagement raise one. This section supplies that input.

Without it, a participant who believes a live provider is underperforming has no route at all, and the only moment at which anything can be done is the renewal challenge window — which may be eleven months away.

6.7.1 Filing Any Governance Participant holding at least the **Challenge Filing Threshold** (DAO Parameters §6B) may file a performance complaint with the RAC concerning a live engagement, stating the engagement, the conduct or shortfall complained of, and the basis for it. A qualified bidder (§6.3A.1) and any contributor working alongside the engagement may refer information to the RAC on the same subject.

A complaint is handled at **Level 3** of the Dispute Resolution & Arbitration Policy, with the RAC as the reviewing body. **Where the Permanent RAC is itself the engaging body** (§6), it does not review a complaint about a provider it engaged: the complaint is escalated directly to **Level 4** and decided by Governance Proposal, on the same footing as an award challenge under §6.3A.3 and a designation referral under §6.6.4. A body does not assess the performance of its own supplier, whether or not the assessment suspends anything.

6.7.2 No Suspensive Effect **A complaint does not suspend the engagement, withhold payment, or alter the scope of work.** This is what makes the route safe to use against a continuity-critical provider: the complaint operates on the engagement's *future*, never on its continuity. A shortfall serious enough to warrant stopping work is a milestone dispute under §7, a breach matter under the Code of Conduct, or an emergency under the Emergency & Safeguards Policy — not this section.

6.7.3 Determination The RAC triages the complaint within the RAC Review Window (**DAO Parameters §6C**) and either:

- dismisses it as unsubstantiated, with published reasons; or
- publishes a **performance finding** setting out the shortfall and what would resolve it

A published performance finding is an unresolved performance dispute for the purposes of **§6.5.1** until the RAC publishes confirmation that it has been resolved. Renewal is unavailable while it stands.

Repeated unsubstantiated complaints against the same provider are subject to the Abuse Threshold in **DAO Parameters §6C**.

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7. Milestone Disbursement

For milestone-based engagements:

- Payment is released upon Steward sign-off that a milestone has been met
- Deliverables must match the accepted scope of work
- Disputed milestone completions are escalated to the RAC for determination
- Partial payment for partial delivery may be agreed in the scope of work

8. Expense Reimbursement

Stewards and contributors may be reimbursed for reasonable out-of-pocket expenses incurred in service of the DAO:

- Expenses at or above the Expense Pre-Authorisation Threshold (DAO Parameters §6.1) require advance approval by the body holding the budget; expenses below it are reimbursable on receipts
- Claims must be submitted with receipts within **60 days** of the expense
- Claims are reviewed and approved by the relevant Working Group Stewards (or the RAC for Steward claims)

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9. Vesting and Long-Term Incentives

For roles requiring sustained multi-term commitment, the DAO may approve token-based incentive arrangements with vesting schedules:

- Such arrangements require a governance-approved Treasury proposal
- Vesting schedules must be publicly disclosed
- Unvested tokens are forfeited upon voluntary departure or removal for misconduct
- Governance retains authority to modify vesting arrangements for cause via Governance Proposal

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10. Compensation Disclosure

All compensation arrangements are subject to full public disclosure:

- Working Group budget proposals must itemize Steward compensation
- Contributor registries must be published and maintained by each Working Group
- Quarterly Working Group reports must include a summary of compensation paid in the period
- The RAC may request disclosure of any engagement at any time

Contributors subject to the **Conflict of Interest Policy** must ensure their compensation from the DAO is included in their standing disclosure.

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11. Prohibition on Unauthorized Payments

The following are prohibited:

- Paying individuals who have not been engaged under a documented, budget-authorized arrangement
- Retroactive compensation for work not previously agreed under this policy

- Compensation to a Steward's affiliated entities without disclosure and RAC approval
- Any arrangement designed to circumvent the transparency requirements of this policy

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12. Relationship to Other Policies

- **Working Group Framework §7** — Budget authority and variance rules for Working Groups
- **Execution & Treasury Actions Policy §8** — Budget execution and spending controls
- **Conflict of Interest Policy** — Disclosure obligations for compensated contributors
- **Contributor Onboarding and Offboarding** — Engagement lifecycle and offboarding obligations
- **Elections & Role Governance Policy** — Steward election and term parameters
- **Treasury Signers Rules** — How payments are executed from treasury
- **Dispute Resolution & Arbitration Policy §5** — Level 4 route for a referred continuity-critical designation where the Permanent RAC is the engaging body (§6.6.4)
- **Proposal & Voting Framework §8** — Compliance Challenge; the continuity bridge in §6.6.3 does not extend to a proposal halted under it
- **Code of Conduct** — Standards of conduct for compensated contributors

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13. Amendments

*Amendment procedures and classification requirements are defined in the **Governance Maintenance & Upgrade Framework**.*